

It seems to me a better existence to instead know what you own and then really own it, as you would a rental property. Then you go about your life without all the baggage and worry that comes from sweating over the day-to-day or month-to-month value of your portfolio.

Here's a story that includes a good point on the 100-bagger theme:

Re: 100 baggers, I thought you might be interested in my one experience with a 100-bagger. In 1987, I invested equal amounts in 10 high-tech or biotech companies that had fabulous stories, and that if they could actually get their products or software to market would be huge winners. Well, I tried to be somewhat smart in picking them, but 9 of the 10 went completely under, and in a not-very-long time either. There were myriad problems, but most had to do with being undercapitalized. The 10th one, a startup named Amgen, hit it, and not only made up for the other 9 total losses but returned 800 times my total investment before I had to sell it to send my kids to college in '94. Wish I still had it, heh.

Two takeaways for me here: you must pick a compelling story (or leader or country or ... ) and you must use money you can afford to lose because you must be willing to risk it all. All of it.

This is a good point and bears repeating. With a coffee can, you are allowing yourself to potentially lose everything on a single position. But the idea is that the returns on the overall coffee-can portfolio more than make up for any such disasters.

I don't recommend taking on start-up risks in your coffee can. I would stick with more established companies with long runways of growth ahead and the ability to keep compounding capital at a high rate.

Now that you know to hold on, let's turn to what kind of stocks you want to put in it. Let's look at those 100-baggers.